In 1899, the all-British Fowler Committee, presided over by Sir Henry Fowler, recommended the introduction of a full-fledged gold standard and suggested fixing the exchange rate of the rupee at 1s 4d, which was the prevailing rate. Accordingly, the official rate was fixed at 1s 4d (i.e.7.5334 grains of gold to a rupee). Also what emerged was not a full-fledged gold standard but what came to be known as a gold exchange standard under which gold was not to circulate as currency but there would be an obligation on the part of the government to provide sterling, which being on the gold standard, was as good as gold. The proposals for gold coinage and a gold mint were revived in 1911–12 and a resolution to this effect was moved in the Legislative Council. The Chamberlain Commission (1913), under Austen Chamberlain, (later Sir Austen) was appointed to look into this and other currency matters. It recommended the continuance of the gold exchange standard as in its view the people of India neither needed nor desired any ‘considerable amount of gold for circulation.’[5]

The First World War which broke out in August 1914 put the currency system under great strain. There was a great demand for rupees on account of a favourable trade balance and the enormous expenditure in India associated with the war effort. Large recruitment in the Indian army resulted in a huge increase in defence expenditure which was met by floating war loans and revising taxes upwards. This together with the disruption of trade and decline in imports led to a steep price rise. The Indian labour class was the worst hit. Declining imports and a rise in the demand for Indian industrial goods led to an increase in the production of cotton textiles, jute, coal, steel, and cement. Escalation in prices resulted in supernormal profits for the mill owners.

The monetary policy of the government was not only aimed at furthering the war effort but also ensured that the wartime profits of British capitalists were repatriated ‘home’ on the most advantageous terms.[6] The exchange rate of the rupee, pegged at 1s 4d since 1898, was maintained with the help of two instruments—the council drafts and the reverse council drafts or reverse councils.[7] The former were sold in London to facilitate remittance to India and to defray the expenditure of the government and the latter were bills to be honoured by the exchange banks in London by payment in gold and sterling. As India always enjoyed an export surplus in those days, the government by use of these instruments built up reserves in London and